

22STCV18360 22STCV18360

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Case Number: 22STCV18360 Hearing Date: September 28, 2026 Dept: 1

Preliminary Approval of Class Action Settlement

Department SSC-1

Hon. Theresa M. Traber

Coutcher

v. Harman Fitness, LLC, et al.

Case No.: 22STCV18360

Hearing: September 28, 2026

TENTATIVE RULING

The Court's tentative ruling is to GRANT preliminary approval contingent on the parties addressing the following:

1. Escalator Clause/Class Period: The escalator clause at Settlement Agreement ¶4.1.3 provides Defendants with the option to shorten the Class and PAGA Periods in lieu of increasing the Gross Settlement Amount. This should be confirmed prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and/or administrator should review and verify the workweek total and confirm the end date of the Class and PAGA Period. Revise the agreement and notice if necessary.

The Court orders the parties to submit supplemental briefing and supporting declarations as well as revised versions of the

Settlement Agreement and Class Notice to address the Court's concerns. The parties are directed to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental papers are due to be filed by _____. The Court sets a non-appearance case review for _____ to review the supplemental papers. The hearing on the motion for final approval is set for _____ at 10:30 a.m. in Department 1.

BACKGROUND

This is a wage and hour class action. Defendants operate Crunch Fitness gym locations in Southern California. Defendant Lancaster Fitness, LLC operated the Crunch Fitness location in Lancaster, California. Defendant XI Enterprise, Inc. operated the Crunch Fitness location in Palmdale, California. Defendant Cerritos Fitness & Health, LLC operated a Crunch Fitness location in Cerritos. Defendant Fitness Club Management, LLC provided human resources services that Plaintiffs contend were uniform across all three locations throughout the respective Class Periods. Individual defendants Curtis and David Harman are owners, officers, and managing agents of Defendants. Harman Fitness also is an owner of the Lancaster and Cerritos Crunch locations. Plaintiff Coutcher worked as a non-exempt employee at the Palmdale Crunch Fitness location from January 2020 until December 2020. Plaintiff Coutcher also worked as a non-exempt employee at the Lancaster Crunch Fitness location from December 2020 until approximately June 2021, and again from January 2022 until approximately July 2022. Plaintiff Conriquez worked as a non-exempt employee at the Cerritos Crunch Fitness location from May 2021 until December 2022.

On June 3, 2022, Plaintiff Coutcher filed an initial class action complaint in Case No. 22STCV18360 against Defendants XI Enterprise, Inc., Harman Fitness, LLC, Fitness Club Management, LLC, Curtis Harman, and David Harman, and other defendants that have since been dismissed, alleging various wage and hour

claims under the California Labor Code and Business and Professions Code.

Also,

on June 3, 2022, Plaintiff Coutcher filed a second class action complaint in Case No. 22STCV18386 against Defendants Lancaster Fitness, LLC, Harman Fitness, LLC, Fitness Club Management, LLC, Curtis Harman, and David Harman, and other defendants that have since been dismissed, alleging various wage and hour claims under the California Labor Code and Business and Professions Code.

On

October 3, 2022, Plaintiff Coutcher filed a first amended class action complaint in Case No. 22STCV18360, adding a cause of action for civil penalties under the PAGA.

On

November 18, 2022, the Court related Case Nos. 22STCV18360 and 22STCV18386 and deemed Case No. 22STCV18360 the lead action.

On

February 9, 2024, the Court consolidated the two Coutcher Actions, Case Nos. 22STCV18360 and 22STCV18386, for all purposes.

On

February 16, 2024, Plaintiff Coutcher filed the operative consolidated class action complaint in Case No. 22STCV18360 (the "Operative Coutcher Complaint"), asserting ten causes of action against Defendants: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide rest periods; (4) failure to provide meal periods; (5) failure to reimburse business expenses; (6) failure to provide accurate wage statements; (7) failure to pay wages timely during employment; (8) failure to pay wages timely at separation; (9) violations of the Unfair Competition Law; and (10) civil penalties under the PAGA.

On

August 16, 2024, the Court dismissed all defendants in the Coutcher Actions other than Defendants XI Enterprise, Inc., Lancaster Fitness, LLC, Harman Fitness, LLC, Fitness Club Management, LLC, Curtis Harman, David Harman, and Bakersfield Fitness, LLC. Bakersfield Fitness, LLC was dismissed on October 10, 2024.

On

September 26, 2024, Plaintiff Conriquez filed a class action complaint in Case No. 24STCV25107 against Defendants Cerritos Fitness & Health, LLC, Fitness Club Management, LLC, Harman Fitness, LLC, Curtis Harman, and David Harman (the “Operative Conriquez Complaint”), asserting causes of action for: (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide rest periods; (4) failure to provide meal periods; (5) failure to reimburse business expenses; (6) failure to provide accurate wage statements; (7) failure to pay wages timely during employment; (8) failure to pay wages timely at separation; and (9) violations of the Unfair Competition Law.

On

March 18, 2026, the Court consolidated the Coutcher Actions with the Conriquez Action for settlement purposes only.

On

February 11, 2026, the Parties participated in a full-day private mediation with mediator Steven Serratore, Esq. After the Parties reached an impasse, Mr. Serratore made a mediator’s proposal, which all Parties accepted. The Parties thereafter negotiated additional settlement details and exchanged numerous drafts of the settlement documents over several months before agreeing on the final form of the Settlement Agreement. A copy of the fully executed Settlement Agreement is attached to the Declaration of Keith A. Custis (“Custis Decl.”) as Exhibit 1.

Now before the Court is the Motion for Preliminary Approval of the Settlement Agreement.

SETTLEMENT CLASS DEFINITION

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“Class” means all persons who worked for Defendants Lancaster Fitness, LLC and/or XI Enterprise, Inc. as a non-exempt employee in California during the Coutcher Class Period, and all persons who worked for Defendant Cerritos Fitness & Health, LLC as a non-exempt employee in California during the Conriquez Class Period. (§1.9)

o “Conriquez Class

Period” means the period from September 26, 2020 to April 12, 2026. (§1.17)

o "Coutcher Class

Period" means the period from June 3, 2018 to April 12, 2026. (§1.20)

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"Aggrieved Employee" means a person who worked for Defendant Lancaster Fitness, LLC and/or Defendant XI Enterprise, Inc. as a non-exempt employee in California during the PAGA Period. (§1.6)

o "PAGA Period" means the period from June 6, 2021 to April 12, 2026. (§1.43)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

The Gross Settlement Amount ("GSA") is \$900,000, non-reversionary. (§1.26, 3.1)

Escalator:

At mediation, the Parties agreed that, if the total Workweeks during the Conriquez Class Period and Coutcher Class Period are 10% or more greater than 32,637 (e.g., 35,901 or more Workweeks), then Defendants would have the option to either: (1) end the Class Period as of the date when the total number of Workweeks exceeded 35,901; or (2) permit the Gross Settlement Amount to be increased proportionally by the number of Workweeks in excess of 35,901 (the "Escalator Clause"). For example, if the number of Workweeks is 11% higher, the Gross Settlement Amount will increase by 1%. (§4.1.3) The Class Period must be finalized before preliminary approval will be granted.

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The Net Settlement Amount ("Net") (\$522,280) is the GSA minus the following:

Up to \$299,970 (33.33%) for attorney fees (§3.2.2);

Up

to \$34,000 for costs of
litigation (Ibid.);

Up

to \$15,000 (\$10,000 to Coutcher
and \$5,000 to Conriquez) for a service award to the named Plaintiffs (¶3.2.1);

Up

to \$10,000 for settlement administration costs (¶3.2.3); and

Payment

of \$18,750 (75% of \$25,000 PAGA Penalty) to the LWDA. (¶3.2.6)

Employer

Taxes: Defendants will separately pay employer payroll taxes owed on the
Wage Portions of the Individual Class Payments. (¶1.26)

There

is no claim requirement. (Notice, pg. 2-3.)

“Response Deadline” means 60 days after the Administrator mails
the Class Notice and shall be the last date on which Class Members may:
(a) fax, email, or mail a Request for Exclusion, (b) fax, email, or mail
objections to the Settlement, or (c) fax, email, or mail a challenge to
the number of Workweeks allocated to the Class Member in the Class Notice.
A Class Member to whom Class Notice is re-sent after having been returned
undeliverable to the Administrator shall have their deadline extended an
additional 14 calendar days beyond the Response Deadline. (¶1.54)

If

the number of valid Requests for Exclusion identified in the Exclusion
List exceeds 10% of the total of all Class Members, Defendants may, but
are not obligated, elect to withdraw from the Settlement. (¶8)

Individual Payment Calculations. The

Administrator shall calculate Individual Class Payments as follows:

Allocation

Between Locations (before deduction of the PAGA Penalties). Before

deducting the PAGA Penalties, the Administrator shall allocate the Aggregate Class Fund between the two groups of Participating Class Members in proportion to their respective Workweeks, as follows:

(i)

the portion allocated to the Lancaster/Palmdale Participating Class Members (the "Lancaster/Palmdale Class Allocation") shall equal the Aggregate Class Fund multiplied by a fraction, the numerator of which is the Lancaster/Palmdale Workweeks and the denominator of which is the Total Workweeks; and

(ii)

the portion allocated to the Cerritos Participating Class Members (the "Cerritos Class Allocation") shall equal the Aggregate Class Fund multiplied by a fraction, the numerator of which is the Cerritos Workweeks and the denominator of which is the Total Workweeks.

Deduction

of the PAGA Penalties from the Lancaster/Palmdale Class Allocation Only. The Administrator shall deduct the entire PAGA Penalties solely from the Lancaster/Palmdale Class Allocation. The resulting amount (the "Lancaster/Palmdale Net Allocation") shall equal the Lancaster/Palmdale Class Allocation less the PAGA Penalties. No portion of the PAGA Penalties shall be deducted from, charged against, or otherwise reduce the Cerritos Class Allocation. (¶¶3.2.4.2.1-3.2.4.2.4)

Calculation

of Individual Class Payments.

(a)

For each Lancaster/Palmdale Participating Class Member, the Administrator shall calculate the Individual Class Payment by (i) dividing the Lancaster/Palmdale Net Allocation by the Lancaster/Palmdale Workweeks, and (ii) multiplying the result by that Participating Class Member's Workweeks.

(b)

For each Cerritos Participating Class Member, the Administrator shall calculate the Individual Class Payment by (i) dividing the Cerritos Class Allocation by the Cerritos Workweeks, and (ii) multiplying the

result by that Participating Class Member's Workweeks.

(¶¶3.2.4.3.1-3.2.4.3.2)

PAGA Payments. The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of each Aggrieved Employee's 25% share of PAGA Penalties (\$6,250.00) by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. Each Aggrieved Employee assumes full responsibility and liability for any taxes owed on their Individual PAGA Payment. (¶3.2.6.1)

Tax Allocation. Each Individual Class Payment shall be allocated as follows: 10% wages, 90% interest and penalties. All Individual PAGA Payments will be allocated as 100% penalties and interest and PAGA Members will be issued an IRS Form 1099 for their Individual PAGA Payment. (¶3.2.5.1)

Funding of Settlement. The Defendants shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay the Defendants' share of payroll taxes, by transmitting the funds to the Administrator no later than fourteen (14) days after the Effective Date. (¶4.2)

Distribution. Within fourteen (14) days after the Defendants fund the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representatives Service Payment. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representatives Service Payment shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.3)

Unclaimed Funds. The face of each check shall prominently state the date (not less than one hundred eighty (180) days after the date of mailing) when the check will be voided. (¶4.3.1) For any Participating Class Member whose Individual Class Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such a check to the California Controller's Unclaimed Property Fund in the name of the Participating Class Member. (¶4.3.3) For any Aggrieved Employee whose Individual PAGA

Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such check to the California Controller's Unclaimed Property Fund in the name of the Aggrieved Employee thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b).

(¶4.3.4)

ILYM

Group, Inc. will act as administrator for the settlement. (¶1.4)

The

proposed Settlement Agreement was submitted to the LWDA on September 1, 2026. (Custis

Decl.,

Exhibit 6.)

Participating

class members and the named Plaintiff will release certain claims against

Defendants. (See further discussion

below)

ANALYSIS

OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

1.

Was the settlement reached

through arm's-length bargaining? Yes. On

February 11, 2026, the Parties participated in a full-day private mediation

with mediator Steven Serratore, Esq. After the Parties reached an impasse, Mr.

Serratore made a mediator's proposal, which all Parties accepted. The Parties

thereafter negotiated additional settlement details and exchanged numerous

drafts of the settlement documents over several months before agreeing on the

final form of the Settlement Agreement. (Custis Decl. ¶56.)

2.

Were investigation and

discovery sufficient to allow counsel and the court to act intelligently? Class Counsel

represents that the Parties engaged in formal and informal discovery and investigation. Plaintiff Coutcher propounded twenty-two special interrogatories, fifty-two requests for production, nine requests for admission, and general form interrogatories to Lancaster Fitness and XI Enterprise, which were responded to by those defendants. Plaintiff Coutcher also propounded formal discovery to Defendant Fitness Club Management, LLC, and former defendant Bakersfield Fitness, LLC, and received responses. In the Conriquez Action, Plaintiff Conriquez propounded fourteen special interrogatories, and fifty-nine requests for production to Cerritos Fitness, which were responded to by that defendant. (Id. at ¶¶38-39.) Before settlement Plaintiffs reviewed written discovery responses and more than 1,300 pages of documents, spreadsheets, class data, payroll and timekeeping information, together with the time-record sample and survey information bearing on liability, class certification, damages, penalties, and Defendants' defenses. (Id. at ¶40.) The parties also engaged in the Belaire-West notice process, through which Class Counsel obtained contact information for 298 putative class members who worked at the Crunch Fitness locations in Palmdale and Lancaster, California. In 2026, prior to mediation, Class Counsel also conducted an online survey of those putative class members regarding the wage and hour issues in these Actions, and received 82 responses, a 27.5% response rate. (Id. at ¶¶42-43.)

Prior to the mediation, Defendants also provided Class Counsel with (1) the total number of putative Class Members for the Lancaster/Palmdale locations and separately for the Cerritos location, allocated between current and former Class Members; (2) the total number of aggregate Workweeks for each location and, for the Lancaster/Palmdale locations, the number of PAGA Pay Periods; and (3) other class data bearing on liability and damages. Class Counsel's investigation also included: (1) multiple telephonic conferences with Plaintiffs; (2) interviews of putative class members in addition to Plaintiffs; (3) investigation into the viability of class treatment of the claims; and (4) assembling data for calculating and analyzing potential class-wide damages. (Id. at ¶¶44-45.)

3.

Is counsel experienced in similar litigation? Yes. Class Counsel represents that they are experienced in class action litigation, including wage and hour class actions. (Id. at ¶¶8-24.)

4.

What percentage of the class has objected? This cannot be determined until the fairness hearing. (See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ["Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing."].)

CONCLUSION: The settlement is entitled to a presumption of fairness.

B.

Is the settlement fair, adequate, and reasonable?

1.

Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Class Counsel has provided information, summarized below, regarding the potential value of each claim asserted:

Violation

Maximum Exposure

Realistic Exposure

Unpaid

Minimum Wages

\$555,729

\$138,932

Unpaid

Overtime Wages

No value

No value

Meal
Period Violations

\$461,315

\$57,664

Rest
Period Violations

\$1,771,888

\$442,972

Expense
Reimbursements

\$655,248

\$233,508

Wage
Statement Violations

\$981,600

\$245,400

Waiting
Time Penalties

\$950,610

\$237,653

PAGA
Penalties

\$790,800

\$197,700

Total

\$6,167,190

\$1,553,829

(Custis
Decl. ¶¶65-88.)

2.

Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 [“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”].)

4. Amount offered in settlement. Plaintiff calculated Defendant’s maximum exposure at \$6,167,190 and realistic exposure at \$1,553,829.

The settlement amount represents approximately 15.6% of Defendant’s maximum potential damages and 58% of the realistic damages which, given the uncertain outcomes, is within the “ballpark of reasonableness.”

The \$900,000 settlement amount, if reduced by the requested deductions, will leave \$522,280 to be divided among approximately 734 class members. The resulting payments will average \$711.55 per class member.

5. Extent of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the final fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

C.
Scope of the release

Releases by Each Lancaster/Palmdale

Participating Class Member: All Lancaster/Palmdale Participating Class Members, on behalf of themselves and their respective heirs, executors, former and present representatives, agents, attorneys, administrators, successors, and assigns, release and forever discharge the Released Parties, jointly and severally from all claims that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Coutcher Complaint that are alleged to have occurred during the Coutcher Class Period including claims for (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide rest periods; (4) failure to provide meal periods; (5) failure to reimburse business expenses; (6) failure to provide accurate wage statements; (7) failure to pay wages timely during employment; (8) failure to pay wages timely at separation; and (9) violations of the Unfair Competition Law. Except as set forth in Paragraph 5.4 below, Lancaster/Palmdale Participating Class Members do not release any other

claims, including claims for vested benefits, wrongful termination, violation of the California Fair Employment and Housing Act, unemployment insurance, disability, social security, or workers' compensation or claims based on events occurring outside the Coutcher Class Period. (§5.2)

Releases by Each Cerritos Participating Class

Member: All Cerritos Participating Class Members, on behalf of themselves and their respective heirs, executors, former and present representatives, agents, attorneys, administrators, successors, and assigns, release and forever discharge the Released Parties, jointly and severally from all claims that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Conriquez Complaint that are alleged to have occurred during the Conriquez Class Period, including claims for (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide rest periods; (4) failure to provide meal periods; (5) failure to reimburse business expenses; (6) failure to provide accurate wage statements; (7) failure to pay wages timely during employment; (8) failure to pay wages timely at separation; and (9) violations of the Unfair Competition Law.

Cerritos Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the California Fair Employment and Housing Act, unemployment insurance, disability, social security, or workers' compensation or claims based on events occurring outside the Conriquez Class Period or the Coutcher Class Period. (§5.3)

Releases by Each Aggrieved Employee: All

Aggrieved Employees are deemed to release and forever discharge, on behalf of themselves and their respective heirs, executors, former and present representatives, agents, attorneys, administrators, successors, and assigns, the Released Parties from all claims for PAGA Penalties that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Operative Coutcher Complaint or the PAGA Notice that are alleged to have occurred during the PAGA Period, including claims for (1) failure to pay minimum wages; (2) failure to pay overtime wages; (3) failure to provide rest periods; (4) failure to provide meal periods; (5) failure to reimburse business expenses; (6) failure to provide accurate wage statements; (7) failure to pay wages timely during employment; and (8) failure to pay wages timely at separation. (§5.4)

“Released Parties” means the Corporate

Defendants and their past and present direct or indirect parent organizations, subsidiaries, divisions, affiliated entities, and their partners, officers, directors, trustees, administrators, fiduciaries, employment benefit plans, or pension plans or funds, executors, attorneys (including, but not limited to, Defense Counsel), employees, insurers, reinsurers, or agents and their successors and assigns individually and in their official capacities; and individual defendants Curtis Harman, and David Harman. (¶1.52)

Named Plaintiffs will also

provide a general release and CC § 1542 waiver. (¶5.1)

D.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk v. Ford Motor Co. (1996)

48 Cal.App.4th 1794, 1807 fn. 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 240.)

2.

Analysis

a.

Numerosity. There are approximately 734 Class Members, 420 Lancaster/Palmdale Class Members and 314 Cerritos Class Members. (MPA at 11:11-12.)

This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class is ascertainable through Defendant's records. (MPA at 11:5-6.)

c.

Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.’” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to commonality, Plaintiff contends that each claim challenges an alleged common policy or practice that Plaintiff contends is illegal as to Plaintiff and all Class Members, which are the sorts of claims are commonly held to be proper for class certification. (MPA at 11:24-25.)

Regarding typicality, Plaintiffs contend that Coutcher's claims are typical of the Lancaster/Palmdale Class Members she seeks to represent, and Conriquez's claims are typical of the Cerritos Class Members he seeks to represent. Each Plaintiff was a non-exempt employee of the employer or employers corresponding to her or his respective allocation group and challenges the same categories of wage-and-hour policies and practices alleged on behalf of that group. Together, Plaintiffs' claims and alleged injuries are reasonably co-extensive with the claims of the Settlement Class. Typicality is satisfied. (Id. at 12:7-13.)

Finally, as to adequacy, Plaintiffs represents that they are aware of the duties of serving as class representative and have participated in the litigation. (Declarations of Jordan Coutcher and Rudy Conriquez, passim.)

d.

Adequacy of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

E.

Is the notice proper?

1.

Content of class notice. The proposed notice is attached to the Settlement Agreement. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

2.

Method of class notice.

Not later than fifteen (15) days after the Court grants Preliminary Approval, the Defendants will deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶7.4.1) Using best efforts to perform as soon as possible, and in no event later than fourteen (14) days after receiving the Class Data, the Administrator will send to each Class Member identified in the Class Data, via first-class USPS mail, the form of Class Notice applicable to that Class Member: the Lancaster/Palmdale Class Notice (Exhibit A) to each Class Member identified in the Class Data as having worked for Defendants Lancaster Fitness, LLC and/or XI Enterprise, Inc., and the Cerritos Class Notice (Exhibit B) to each Class Member identified in the Class Data as having worked for Defendant Cerritos Fitness & Health, LLC. The Administrator shall mail both forms of Class Notice on the same date.

Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (§7.4.2)

Not later than three (3) business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to any Class Member whose Class Notice is returned by the USPS a second time. (§7.4.3)

The Class Notices will be provided in English based on Defendants' representation that the Class Members speak and understand English. (Declaration of David G. Hoiles, §8.)

Notice of entry of final judgment will be posted on the administrator's website. (§7.8.1)

3.

Cost of class notice. As indicated above, settlement administration costs are estimated to be up to \$10,000. Prior to the time of the final fairness hearing, the administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

F. Attorney fees and costs

California Rule of Court, rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM

Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc.

(2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the

contrary, "the court ha[s] an independent right and responsibility to review

the attorney fee provision of the settlement agreement and award only so much

as it determined reasonable." (Garabedian

v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether

Class Counsel is entitled to \$299,970 (33.33%) in attorney fees and up to \$34,000 in costs will be addressed at

the final fairness hearing when class counsel brings a noticed motion for

attorney fees. Class counsel must provide the court with billing information so

that it can properly apply the lodestar method, and must indicate what

multiplier (if applicable) is being sought as to each counsel. Class Counsel

should also be prepared to justify the costs sought by detailing how they were

incurred.

G.

Incentive Award to Class Representative

Class

Counsel will seek a Service Payment of \$10,000

to Plaintiff Coutcher, and \$5,000 to Plaintiff Conriquez. In

connection with the final fairness hearing, named Plaintiffs must submit

declarations attesting to why they should be entitled to an enhancement award

in the proposed amount. The named

Plaintiffs must explain why they "should be compensated for the expense or risk

she has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC

(2009) 175 Cal.App.4th 785, 806.) Trial

courts should not sanction enhancement awards of thousands of dollars with

"nothing more than pro forma claims as to 'countless' hours expended, 'potential stigma' and 'potential risk.'

Significantly more specificity, in the form of quantification of time and

effort expended on the litigation, and in the form of reasoned explanation of

financial or other risks incurred by the named plaintiffs, is required in order

for the trial court to conclude that an enhancement was 'necessary to induce

[the named plaintiff] to participate in the suit" (Id.

at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of

final approval.